MERTON DAILY BRIEF - Tuesday, June 23, 2026

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HEADLINE OF THE DAY

*Global tech in cold blood, oil under Hormuz pressure, Warsh takes the Fed helm.** Global equities plunge - South Korea -8%, Kospi triggers trading halt, SpaceX loses $400B in market value. WTI retreats to $73 despite the Iranian blockade of the Strait of Hormuz (400+ ships waiting). Kevin Warsh takes office as new Fed Chair amid PPI at +1.1% (above consensus) and inflation "going the wrong way" per Goolsbee. Former Fed Chair Alan Greenspan dies at 100. Dollar strengthens modestly (DXY 101), gold corrects to $4,149 despite geopolitical tensions.

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GLOBAL SENTIMENT

Indicator	Level	Change	Signal
VIX	17.28	Stable	? Low volatility
DXY	101.05	+0.3%	? Firm dollar
Gold	$4,149	-0.8%	Gold corrects
US 10Y	4.509%	+2 bps	Rates rising
US 30Y	4.947%	+1 bp	Curve steepening
US 5Y	4.287%	Stable	?
S&P 500	7,472.79	-0.5%	Tech selloff
NASDAQ	26,166.6	-0.8%	Tech under pressure
WTI	$73.38	-1.2%	Despite Hormuz
Brent	$77.28	-1.0%	
BTC	$63,300	-2.1%	Risk-off crypto
Copper	$6.256	-0.5%	?
Silver	$63.02	-1.0%	
USD/JPY	161.62	+0.4%	Weak JPY
EUR/USD	1.1426	-0.2%	?
GBP/USD	1.3236	-0.3%	Post-Starmer
USD/CHF	0.8089	+0.1%	?

* Read:** The market is in "selective risk-off" mode. Global tech corrects sharply (SpaceX -$400B, Kospi -8%), but VIX remains remarkably low at 17 - no panic yet. Gold corrects despite Iran tensions, signaling investors prefer the dollar and high real rates as refuge. Oil drops despite the Hormuz blockade because US-Iran talks are progressing and the market is pricing resolution. 2Y at highest since Feb 2025 confirms Fed cuts are pushed to the back burner.

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MACRO - WHAT MOVED

United States

Kevin Warsh takes the Fed - The new Fed Chair takes office in an explosive context: PPI at +1.1% in May (vs ~0.6% expected), driven by the energy surge from the Iran conflict. Warsh, known for his hawkish approach, faces his immediate first test.

PPI May at +1.1% - Well above consensus (~0.6%), driven by energy. This pushes back Fed cut expectations further. 2Y Treasury hit its highest since February 2025.

Goolsbee (Fed): inflation "going the wrong way" - A Fed member publicly acknowledges that disinflation is at a standstill, or even reversing. This reinforces the "higher for longer" narrative.

Job openings at 7.6M in April - Highest in nearly 2 years, signaling a still-tight labor market that complicates the Fed's ability to ease.

SpaceX loses $400 billion - The post-IPO rally has reversed sharply. SpaceX, valued at ~$300B at peak, loses nearly half. Signal of the Magnificent 7 bubble bursting.

Citadel Securities: Warsh could stabilize long rates - The institution estimates that credible hawkish Fed leadership could paradoxically ease financial conditions by reducing uncertainty.

Alan Greenspan dies at 100 - The former Fed Chair (1987-2006), architect of the dot-com and subprime bubbles, passes away. His "Greenspan put" legacy is more questioned than ever.

Bowman (Fed): no hike despite inflation spike - The governor warns against overreaction, suggesting the energy shock is temporary and doesn't justify tightening.

Europe

Starmer resigns - The British Prime Minister leaves Downing Street without ever "managing to explain what he stood for" (FT). GBP/USD falls to 1.3236. The market doesn't care much (FT: "markets found you dull"), but UK political instability worsens.

UK inflation steady at 2.8% in May - In line with expectations, but remains above the 2% target. The BoE is stuck between persistent inflation and sluggish growth.

UK GDP -0.1% in April - The British economy contracts, the Iran conflict weighing on energy costs and business confidence.

ECB: hawkish pressure - According to CNBC, the ECB could be forced to raise rates for the first time since 2023 if energy continues to rise. A scenario unthinkable 3 months ago.

EU irritated by summit postponement - The EU delays a key summit after Starmer's resignation, adding to European political instability.

China

HK stocks near bear market - Chinese stocks in Hong Kong approach a bear market (-20% from peak), weighed down by consumption concerns. The major shopping festival (618) disappointed.

China pursues austerity - First fiscal deficit cutback since 2023. Beijing chooses discipline over stimulus, a strong signal that China won't do massive stimulus.

Beijing summons tech executives again - But this time the market worries less than in 2021, suggesting the worst of tech regulation is behind us.

India-China: relations improving - Both countries declare their ties "moving toward improvement," a significant geopolitical development.

United Kingdom

Starmer out, political chaos - GBP suffers but the market remains relatively calm. The question is: who succeeds? Polymarket gives Lucy Powell at 99.95%.

Negative growth, elevated inflation - The UK enters a mild stagflation scenario, the worst of both worlds for the BoE.

Emerging Markets

South Korea -8%, trading halt - The Kospi collapses 8% from its record, triggering a trading halt. Korean tech (SK Hynix) is caught in the global selloff.

India: Flash PMI declining - Indian economic activity slowed in June. Inflation remains "anchored" per the RBI despite the May pickup.

Baht at 1-year low - The Thai baht collapses on expectations of a widening rate gap with the US.

Singapore: core inflation steady at 1.4% - Despite the oil shock, core inflation remains contained.

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GEOPOLITICS

Hot

Strait of Hormuz blockade - 400+ ships waiting near the strait to cross. Three Iranian tankers have left the US blockade. Iran rushes to woo Asia's largest oil importers (China, India, Japan) after obtaining a

US waiver. Oil paradoxically falls because the market is pricing resolution.

US-Iran talks ongoing - Vance declares a "successful foundation" has been laid. The US oil waiver offer provides a lifeline to Tehran. But Oilprice.com calls it a "phantom peace deal" - what Washington and Tehran are really playing at remains unclear.

North Korea: Kim wants more nuclear forces - After the US-Iran war, Kim Jong-un accelerates his nuclear program, seeing an opportunity in American distraction.

Watch

Russian Wiki warfare - Russia conducts information warfare via Wikipedia to distort reality, according to documents revealed by Bloomberg.

US provides underwater vehicles to Philippines - As part of the rivalry with China in the South China Sea.

Next Israeli PM - Polymarket gives Netanyahu at 36.5% to return to power.

Positive

India-China: rapprochement - Both giants declare their relations are improving, a positive signal for Asian stability.

EU: Europe saved your summer holiday - European refineries helped avoid a fuel shortage despite the Hormuz shock (FT).

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FX FOCUS

Pair	Level	Change	Signal
EUR/USD	1.1426	-0.2%	? Under pressure
GBP/USD	1.3236	-0.3%	Post-Starmer
USD/JPY	161.62	+0.4%	Weak JPY
USD/CHF	0.8089	+0.1%	? Stable

* Analysis:** The dollar benefits from the double effect of high real rates + safe haven. USD/JPY at 161.62 reflects the massive US-Japan rate differential and insufficient BoJ verbal intervention. GBP suffers from post-Starmer political instability but the market isn't panicking. EUR is torn between potential ECB hikes (bullish) and weak European growth (bearish). CHF remains stable, a quiet refuge.

* Pair to watch:** `USD/JPY` - At 161.62, we're approaching intervention levels. If the BoJ does nothing and US rates continue to rise, 165 is the next milestone. Catalyst: any sign of coordinated G7 intervention or BoJ policy change.

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COMMODITIES

Oil

WTI at $73.38 (-1.2%) and **Brent at $77.28** (-1.0%) - Oil falls despite the Hormuz blockade because: (1) US-Iran talks are progressing, (2) the market is pricing resolution, (3) Chinese demand is weakening. Citi sees the "overhang" disappearing. Oilprice.com warns "the oil crisis is far from over."

400+ ships waiting at the strait entrance. The logistics situation is critical but the market seems to believe in a diplomatic resolution.

3 Iranian tankers have left the US blockade - a sign that the diplomatic channel is partially working.

Gold

Gold at $4,149 (-0.8%) - Gold corrects despite geopolitical tensions. Apparent paradox: investors prefer the dollar and high real rates (US 10Y at 4.51%) as refuge. Deutsche Bank cut its gold forecasts by 22%, estimating the rally is overdone. Options flows suggest weakness could continue.

Gold miners - CNBC notes gold miners could be due for a bounce, relative underperformance being extreme.

Silver & Copper

Silver at $63.02 (-1.0%) - Follows gold lower, amplified by weak industrial demand (sluggish Chinese demand).

Copper at $6.256 (-0.5%) - Copper suffers from the Chinese slowdown despite AI/data center demand outlook. Blue Line Futures predicts AI spending will drive copper prices medium-term.

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TODAY'S CALENDAR

Time (CET)	Country	Event	Impact
14:30	US	PPI Final Demand May	High
14:30	US	PPI Core May	High
16:00	US	NAHB Housing Market Index June	? Medium

* Week ahead:**
Thursday 6/26: US final Q1 GDP, Jobless Claims, Durable Goods
Friday 6/27: PCE Price Index May (Fed's preferred gauge), Consumer Sentiment final
Monday 6/30: China official PMI June, US ISM Manufacturing

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DEEP MACRO THEME

*The hawkish Fed paradox in a world that fears it.**

We are living through a unique moment: a new Fed Chair (Warsh) takes office just as inflation rebounds (PPI +1.1%), the labor market remains tight (7.6M job openings), and a geopolitical supply shock (Hormuz blockade) threatens to reignite imported inflation. The market is pricing zero cuts in 2026 - Polymarket gives 73.5% probability of no change in July.

The paradox is this: Warsh is hawkish, which should be negative for risk assets. But Citadel Securities argues that credible hawkish leadership could paradoxically *stabilize* long rates by reducing uncertainty. If the market believes the Fed will do what's needed to anchor inflation, term risk premiums could decline.

The real risk isn't active Fed tightening - it's a world where rates stay high *despite* the slowdown, because inflation doesn't return to 2%. This is the "light stagflation" scenario beginning to take hold: sluggish growth + sticky inflation + elevated rates. In this world, the dollar and energy are the only true hedges, and overvalued tech is paying the price.

The Hormuz shock is the catalyst transforming a cyclical slowdown into a structural risk. If the strait remains partially blocked for another 2-4 weeks, energy prices will rise, inflation will harden, and the Fed will have no choice but to hold - or even tighten. This is the dark scenario the market isn't pricing yet.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. **"US-Iran talks will resolve the Hormuz crisis quickly"** - The market is pricing rapid resolution (oil falling). But 400 ships waiting suggest it will take longer than expected.

2. **"The Fed won't cut in 2026"** - Polymarket at 73.5% for no change in July. With PPI at +1.1% and Goolsbee saying inflation is "going the wrong way," this consensus is well-founded.

3. **"Tech will bounce, it's a buying opportunity"** - The CNBC strategist calling the Mag 7 pullback a buying opportunity ignores that SpaceX just lost $400B. The "buy the dip" narrative works while VIX stays low, but at 17, the least bad signal has already passed.

4. **"Gold is a safe haven in wartime"** - Gold corrects to $4,149 despite the Iran war. The market has realized that 4.5% real rates make the opportunity cost of holding gold prohibitive. Deutsche Bank cuts

forecasts by 22%.

5. **"The dollar will weaken with the end of the Fed cycle"** - DXY strengthens to 101. As long as Europe is in political chaos (Starmer out) and the ECB is stuck, the dollar has no rival.

6. **"China will stimulate"** - Beijing is pursuing austerity with the first deficit cutback since 2023. No massive stimulus in sight.

The Alpha:

1. **Long USD/JPY toward 165** - The US-Japan rate differential is massive, the BoJ is powerless, and verbal intervention isn't enough. Stop-loss below 159.50.

2. **Short Gold toward $4,000** - Gold is trapped between geopolitical support and real rate pressure. With Warsh hawkish and cuts pushed back, opportunity cost will dominate. Target $4,000, stop above $4,250.

3. **Long WTI on talks breakdown** - If US-Iran negotiations fail (~30% probability), WTI could explode toward $85-90. Position a call spread WTI 80/90.

4. **Short Tech via QQQ put spreads** - The Mag 7 is correcting. SpaceX -$400B is the canary in the coal mine. Buy QQQ 620 puts July expiry.

5. **Long GBP on political stabilization** - If a credible successor to Starmer emerges quickly, GBP/USD at 1.32 is a good entry for a bounce toward 1.35.

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MERTON'S TAKE

We are entering what I call the **"Warsh Regime"** - a world where the Fed is run by an avowed hawk, in a context of inflation that won't return to 2%, with a geopolitical supply shock complicating everything.

The driver of the week is clear: **the collision between the Hormuz shock and the new Fed reality.** Warsh takes command at the worst moment - PPI +1.1%, energy rising, tight labor market. He has no room to ease. Worse, if energy continues to rise, he could be forced to *tighten*, which the market isn't pricing at all.

My conviction: **the market is underestimating the risk of light stagflation.** The consensus pricing "soft landing + cuts late 2026" is wishful thinking. The reality is sticky inflation, slowing growth (UK -0.1%, weak China, EM under pressure), and a stuck Fed.

*My trade of the week:** Long USD/JPY toward 165. JPY is the most vulnerable currency in this regime - the BoJ can't tighten, the rate differential is massive, and safe-haven flows to the dollar dominate. It's the cleanest trade of the moment.

*Positioning:** Long dollar, short tech, neutral gold (too early to short), and waiting for a long oil opportunity if Iran talks fail. I have no rates position - too early to take a directional bet on US 10Y, but I'm watching 4.60% as a key breakout level.

*What I'm avoiding:** European equities (chaos + stagflation), JPY as a refuge (it's over), and "buy the dip" in tech (the Mag 7 rally is done).

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SOURCES CONSULTED

Yahoo Finance API - Real-time prices: S&P 500, VIX, Gold, WTI, Brent, BTC, Copper, Silver, DXY, US 10Y/30Y/5Y, EUR/USD, GBP/USD, USD/JPY, USD/CHF, ES Futures, NASDAQ
Bloomberg RSS - Markets, Economics, Politics feeds
FT RSS - Home & Markets feeds
CNBC - World, Federal Reserve, Markets, Oil, Gold, Economy section pages
Oilprice.com - Energy headlines
Polymarket API - Fed Decision July (73.5% no change), Bitcoin price events, Next UK PM, Israel PM

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